Finance Document Credibility Test Sheet

Finance Knowledge Test -- Credibility Questions

Ask these questions to the AI assistant after uploading finance_guide_2024.pdf to verify that the document has been correctly indexed and the AI can accurately retrieve information from it.

Q1. What is the 50/30/20 budgeting rule?

A: 50% of income for needs, 30% for wants, and 20% for savings or debt repayment.

Q2. How many months of expenses should an emergency fund cover?

A: 3 to 6 months of living expenses.

Q3. What is the formula for calculating Net Worth?

A: Net Worth = Assets minus Liabilities.

Q4. In the example given, what is the net worth if assets are Rs.45L and liabilities are Rs.18L?

A: Rs.27 lakh.

Q5. What is the average annual market return mentioned for the Sensex?

A: Approximately 12% annually.

Q6. What is the typical FD interest rate range mentioned in the document?

A: 6.5% to 7.5% per annum.

Q7. What is the minimum SIP amount for mutual funds?

A: Rs.500 per month.

Q8. What is the interest rate for PPF and how long is the lock-in period?

A: 7.1% per annum, tax-free, with a 15-year lock-in period.

Q9. What is a healthy Debt-to-Equity ratio range for a company?

A: 1:1 to 2:1.

Q10. What is the Working Capital formula?

A: Working Capital = Current Assets minus Current Liabilities.

Q11. Under the new tax regime, what is the tax rate for income between Rs.7L and Rs.10L?

A: 10%.

Q12. What is the Section 80C deduction limit?

A: Rs.1.5 lakh.

Q13. What is the LTCG tax rate on equity and what holding period qualifies?

A: 10% on gains above Rs.1 lakh, for holdings longer than 1 year.

Q14. How much life insurance coverage is recommended relative to annual income?

A: 10 to 15 times the annual income as a term plan.

Q15. What is India's RBI repo rate as of 2024?

A: 6.5%.

Q16. What is the RBI's CPI inflation target?

A: 4% with a tolerance band of +/-2%.

Q17. What is the 4% withdrawal rule used for?

A: It is used to estimate the retirement corpus needed -- 25 times your annual expenses.

Q18. What is the STCG tax rate on equity investments?

A: 15% for equity held less than 1 year.

Q19. What is the minimum health insurance coverage recommended?

A: Minimum Rs.5 lakh coverage.

Q20. What does CAGR stand for and what is it used for?

A: Compound Annual Growth Rate -- used to measure the rate of return on investment over time.

This test sheet corresponds to finance_guide_2024.pdf -- Use it to validate AI document retrieval accuracy.